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Stock Pitch 101

Basics of a Stock Pitch

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Stock Pitch 101

Basics of a Stock Pitch

- What is a stock pitch?
  - A presentation made on a stock that lays out what direction you think the price of that stock will move and your recommendation for action.

- Why do we pitch stocks?
  - Ultimately, the goal is to get the person (investor) who is listening to your pitch to ACT inline with your recommendation

- Three Pillars of Stock Pitch
  - **Recommendation** – What do you want the person to do and why?
  - **Thesis (rationale)** – Why should the investor follow your advice?
  - **Risks** – What could go wrong?

- A good flow for a stock pitch is:
  - Recommendation → Thesis (Rationale) → Risk
  - Note that your work should determine your recommendation

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Pillar 1: Recommendation

Stock Pitch 101
Recommendation

Pillar 1: The Recommendation

- The core of a stock pitch is your **recommendation.**
  - A stock pitch is an action statement (call to action)
  - Recommendation = the action you want investors to take and why
  - Investors want to know how much are they going to get paid, when and why

- Generally, there are 3 actions an investor can take:
  - Buy – You believe the fair value for the stock is > the current price
  - Sell/Short – You believe the fair value for the stock is < than current price
  - Hold – You believe the fair value for the stock is close to the current price

- Your recommendation should have the following:
  - an action, a target price, upside with a time horizon, and a brief synopsis

- Ex: "My recommendation is that you buy Apple's stock with a 12-month price target of $350 for 50% upside from today's price driven by (1) faster than expected growth and (2) better than expected profitability. This puts the stock at 15x EPS which is below is peers for better than peer growth.

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Pillar 2: Thesis

Stock Pitch 101
Thesis (rationale)

Pillar 2: The Thesis

- The foundation of your stock pitch is your thesis (rationale).
  - This is the most important part of your pitch
  - This is where you answer the question "why should the investor follow your recommendation"

- How do you answer the question?
  - Answer with data and analysis focused on what drives the stock price and that is linked to your recommendation
  - Remember that the data and analysis should determine your recommendation

  - Structure your thesis into subsections
    - Have a maximum of 3 – 4 subsections
    - Start with most impactful/differentiated point and end with the least
    - Finish with a valuation section

Stock Pitch 101
Thesis (rationale)

Pillar 2: The Thesis (cont.)

- How do you answer the question? (cont)
  - ❑ Answer with data and analysis focused on drivers
  - ❑ Structure your thesis into subsections

  - ❑ For each thesis point (subsection)
    - ✓ Give your conclusion,
    - ✓ Followed by the analysis/research that led you to that conclusion
    - ✓ Ending with your different perspective
      - (i.e. why the market does not yet see what you see)
    - ✓ Your thesis should be focused on what drives stock prices

  - ❑ Explain your valuation methodology

Stock Pitch 101
Thesis (rationale)

Pillar 2: The Thesis (cont.)
Recommendation

- Ex: "My recommendation is that you buy Apple's stock with a 12-month price target of $350 for 50% upside from today's price driven by (1) faster than expected growth and (2) better than expected profitability. This puts the stock at 15x EPS which is below is peers for better than peer growth.

- Thesis Subsection 1: Faster than expected revenue growth
  - Conclusion: I think Apple is going to grow revenue at 20% vs. the market at 10%

  - Analysis: what led you to come to you conclusion
    - ✓ What research did you do
    - ✓ What financial analysis did you do

  - Differentiation – this is the hard part
    - ✓ A key part to getting a stock right is having a different perspective than what is already known by the market

Stock Pitch 101
Thesis (rationale)

Pillar 2: The Thesis
Recommendation

- Ex: "My recommendation is that you buy Apple's stock with a 12-month price target of $350 for 50% upside from today's price driven by (1) faster than expected growth and (2) better than expected profitability. This puts the stock at 15x EPS (earnings per share) which is below its peers for better than peer growth.

- Thesis Valuation Section: Why is the stock valued the way it is and why is your valuation the right one to use to get your target price.
  - A stock price is made up of a (1) a multiple and (2) financial metric
    - 15x EPS: 15x is the multiple and "earnings" is the financial metric

  - For a stock price to move, either the financial metric or the multiple (or both) has to move

  - Most pitches focus on movement in the financial metric rather than multiple expansion, as that is a higher quality thesis

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Pillar 3: Risk

Stock Pitch 101
Thesis (rationale)

Pillar 3: The Risk

- The best investor is right 60% of the time, so that means they get 4 out of every 10 investment decisions wrong.

- Investors want to know what is the other side of your thesis

- Why doesn't the market believe your thesis?

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Sample Pitch Structure

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Elements of a Successful Presentation

You should aim to talk for 9 – 10 mins

- Lead with the recommendation **(1 min)**
  - ❑ That is what you want investors to do – Action
  - ❑ This is what you believe the stock is worth – How they get paid
  - ❑ This is why you believe the market is misunderstanding the company – Why

- Move to your thesis **(7 – 8 mins)**
  - ❑ Walk through your thesis subsections focusing on
    - ✓ your conclusion
    - ✓ your supporting data and analysis
    - ✓ your different perspective from the market
  - ❑ Explain your valuation methodology and why it is right

- Explain the risks **(1 min)**
  - ❑ Give the other side or opposing argument to your recommendation

- Open for Q&A

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